Fintech Deals & Acquisitions: Q1 2022 Trends

In the second edition of our quarterly UK fintech analysis with Deloitte, we explore the exits and equity deals achieved by companies in the sector.

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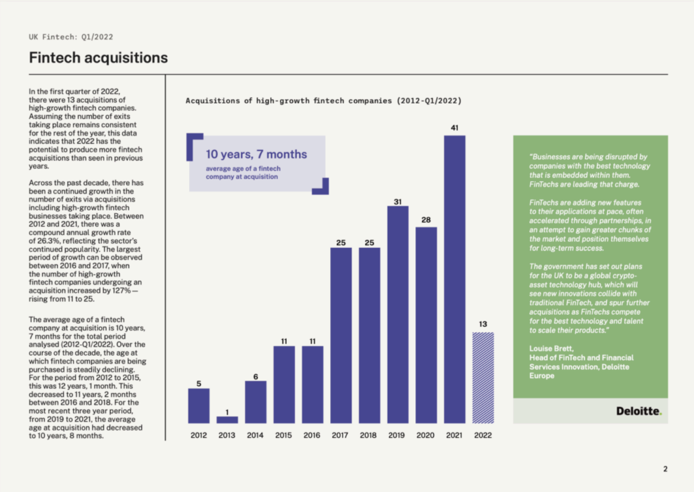
This is off the back of a record year for fintech acquisitions in 2021.

Meanwhile, Q1 of 2022 has already seen more acquisitions of high-growth fintech companies than the whole of 2016.

Download the free report for more key findings.

Here's a sneak peek inside



Fintech acquisitions

In the first quarter of 2022, there were 13 acquisitions of high-growth fintech companies. Assuming the number of exits taking place remains consistent for the rest of the year, this data indicates that 2022 has the potential to produce more fintech acquisitions than seen in previous years.

Across the past decade, there has been a continued growth in the number of exits via acquisitions including high-growth fintech businesses taking place. Between 2012 and 2021, there was a compound annual growth rate of 26.3%, reflecting the sector's continued popularity. The largest period of growth can be observed between 2016 and 2017, when the number of high-growth fintech companies undergoing an acquisition increased by 127% — rising from 11 to 25.

The average age of a fintech company at acquisition is 10 years, 7 months for the total period analysed (2012-Q1/2022). Over the course of the decade, the age at which fintech companies are being purchased is steadily declining. For the period from 2012 to 2015, this was 12 years, 1 month. This decreased to 11 years, 2 months between 2016 and 2018. For the most recent three year period, from 2019 to 2021, the average age at acquisition had decreased to 10 years, 8 months.

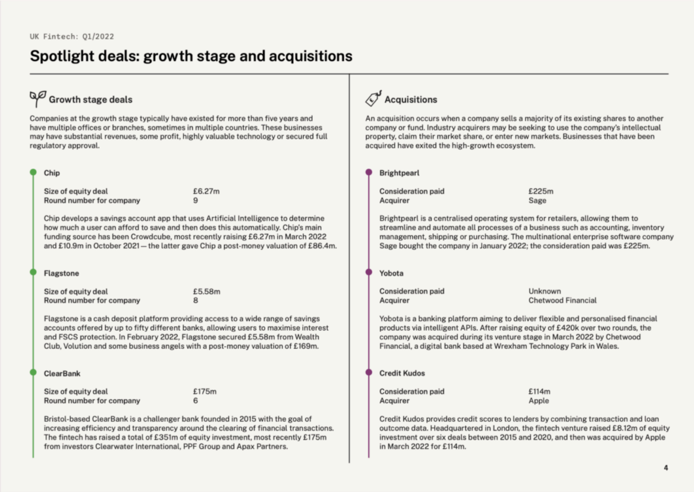
"Businesses are being disrupted by companies with the best technology that is embedded within them. FinTechs are leading that charge.

FinTechs are adding new features to their applications at pace, often accelerated through partnerships, in an attempt to gain greater chunks of the market and position themselves for long-term success.

The government has set out plans for the UK to be a global crypto-asset technology hub, which will see new innovations collide with traditional FinTech, and spur further acquisitions as FinTechs compete for the best technology and talent to scale their products."

Louise Brett,
Head of FinTech and Financial Services Innovation, Deloitte Europe

Deloitte.



Spotlight deals: growth stage and acquisitions

Growth stage deals

Companies at the growth stage typically have existed for more than five years and have multiple offices or branches, sometimes in multiple countries. These businesses may have substantial revenues, some profit, highly valuable technology or secured full regulatory approval.

Chip

Size of equity deal £6.27m
Round number for company 9

Chip develops a savings account app that uses Artificial Intelligence to determine how much a user can afford to save and then does this automatically. Chip's main funding source has been Crowdcube, most recently raising £6.27m in March 2022 and £10.9m in October 2021 — the latter gave Chip a post-money valuation of £86.4m.

Flagstone

Size of equity deal £5.58m
Round number for company 8

Flagstone is a cash deposit platform providing access to a wide range of savings accounts offered by up to fifty different banks, allowing users to maximise interest and FSCS protection. In February 2022, Flagstone secured £5.58m from Wealth Club, Volution and some business angels with a post-money valuation of £169m.

ClearBank

Size of equity deal £175m
Round number for company 6

Bristol-based ClearBank is a challenger bank founded in 2015 with the goal of increasing efficiency and transparency around the clearing of financial transactions. The fintech has raised a total of £351m of equity investment, most recently £175m from investors Clearwater International, PPF Group and Apax Partners.

Acquisitions

An acquisition occurs when a company sells a majority of its existing shares to another company or fund. Industry acquirers may be seeking to use the company's intellectual property, claim their market share, or enter new markets. Businesses that have been acquired have exited the high-growth ecosystem.

Brightpearl

Consideration paid £225m
Acquirer Sage

Brightpearl is a centralised operating system for retailers, allowing them to streamline and automate all processes of a business such as accounting, inventory management, shipping or purchasing. The multinational enterprise software company Sage bought the company in January 2022; the consideration paid was £225m.

Yobota

Consideration paid Unknown
Acquirer Chetwood Financial

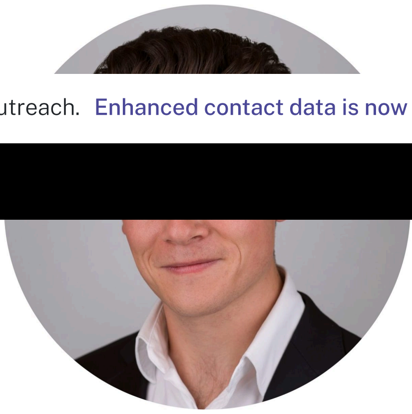
Yobota is a banking platform aiming to deliver flexible and personalised financial products via intelligent APIs. After raising equity of £420k over two rounds, the company was acquired during its venture stage in March 2022 by Chetwood Financial, a digital bank based at Wrexham Technology Park in Wales.

Credit Kudos

Consideration paid £114m
Acquirer Apple

Credit Kudos provides credit scores to lenders by combining transaction and loan outcome data. Headquartered in London, the fintech venture raised £8.12m of equity investment over six deals between 2015 and 2020, and then was acquired by Apple in March 2022 for £114m.

About the authors



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